control and family planning, social security and social insurance, employment and unemployment, welfare of labour, shipping and navigation on inland waterways, and so on. Education and health were added later.

There was a large state list over which states had complete and exclusive authority to make laws and exercise executive jurisdiction. This list included important development and public welfare subjects like local government, public health and sanitation, relief of the disabled and unemployable, agriculture, water, land, fisheries, industries, markets and fairs. The Central government has no constitutional authority to make development schemes to incur expenditures on these subjects.

Attempts were made to modify the state list to confer powers to the Centre from time to time. For example, development and regulation of industries was brought under central control by amending the entry in 1956. However, major inroads were made in the domain of the states by engineering the CSSs, which effectively came into existence after the development financing system was modified in 1969. The Centre used the space provided by Article 282 to get its foot in the domain of state subjects.

The predominant feature of CSSs was to provide the lure of grant resources (though there was a loan component attached for many schemes until the 1990s) for states to adopt the central scheme and fund a part of the cost of the scheme from their own resources. States, especially functional departments, found the temptation too difficult to resist and joined the bandwagon enthusiastically. Gradually, the Centre could build a large number of schemes in almost all development subjects in the state list.

The National Development Council (NDC) clearly stipulated in 1968 that CSSs would not have total outlays larger than one-sixth of total central assistance to state Plans. This stipulation was, unfortunately, observed more in the breach.

Pushed by the Centre, CSSs bloomed. The Central government came up with new schemes but CSSs were mostly successful nationalized